Revision Date:
February 1, 2025

Background:
Counties are responsible for investigating any case of an alleged Intentional Program Violation (IPV) and ensuring that appropriate cases are acted upon either through Administrative Disqualification Hearing (ADH) or referral to a court of appropriate jurisdiction.

Purpose:
The purpose of this section is to provide IPV requirements. This material revision is for Sunset Date review. No policy or procedure changes have been made.

Policy:
General
IPVs are acts which disqualify a customer from CalWORKs for either a time-limited period or permanently. They may include:

- A false or misleading statement or misrepresentation, concealment, or withholding of facts.
- Any act intended to mislead, misrepresent, conceal, withhold facts, or propound a falsity.
- Committed these acts to establish or maintain CalWORKs eligibility, or to increase or prevent a reduction in the amount of the CalWORKs grant.

IPVs may be established by any of the following:

- Court of appropriate jurisdiction: Conviction of welfare fraud charges by a state or federal court, including any determination made on the basis of a plea of guilty or nolo contendere.
- ADH process: An ADH decision that finds an IPV occurred.
- Disqualification Consent Agreement: A customer's waiver of an ADH, with or without an admission that the facts alleging an IPV are true.

IPVs from another state or out of county IPVs are to be used to disqualify customers from cases in San Diego County.

Out of state or out of county IPVs are to be counted when determining whether to apply a first, second, or permanent disqualification.

Bureau of Public Assistance Investigation (BPAI) Responsibility
BPAI is responsible for investigating any case of alleged IPV. BPAI may confer with the District Attorney in establishing criteria for investigations and meeting the prosecution threshold. In those cases, in which it appears that clear and convincing evidence exists to substantiate the IPV, BPAI may file a request for a complaint with the District Attorney office. Cases not meeting the threshold for prosecution are reviewed by Quality and Eligibility Support Department (QESD) for ADH.

IPV Determination and State Fair Hearings
Once an IPV has been determined, a customer may request a state fair hearing on how an IPV disqualification is imposed. But the finding of an IPV and the length of a disqualification period are not subject to state fair hearing appeals.

Informing Requirements

Written notice of the disqualification penalties for IPVs is required at the time of application and at redetermination. To meet this requirement, staff are to ensure that all CalWORKs applications and redetermination include use of the *SAWS 2A SAR Rights and Responsibilities and Other Important Information for the Cash Aid and CalFresh Programs, and/or Medi-Cal* form.

Referral for ADH to Quality and Eligibility Support Department (QESD)

Send referrals via e-mail to QESD at *HHSA, EO_QESDSupport*, stating in the subject line *'Request ADH Review'* and include the case name, case number and brief summary in the e-mail.

Do not refer for ADH if:

- Cases with a one-month overpayment and no prior history of overpayment.
- Supplemental Security Income/State Supplementary Payment (SSI/SSP) caretakers.
- Excluded person.
- Undocumented noncitizen.
- Fleeing felon.
- Earnings of a child unless prior overpayment involving same issue.

QESD staff will follow the ADH policies and procedures posted in the EPPG site under QESD section.

216 IPV Notification - Required Action

The 216 IPV Notification form is a priority directive that requires follow-up action by the next work day after receipt. The 216 IPV is initiated by QESD and sent to the assigned Family Resource Center (FRC) liaison. The FRC liaison must coordinate IPV actions with QESD and monitor for FRC compliance with the 216 IPV instructions.

The 216 IPV informs the FRC of the effective date of disqualification (QESD will factor in the need for timely Notice of Action (NOA)), who the violator is, and the time period of the disqualification. Ten days advance notice is required to discontinue a person for an IPV.

The reverse side of the 216 IPV contains specific instructions to take on both active and inactive cases/persons. Staff can consult with the FRC liaison if they have questions on IPV procedures.

The 216 IPV requires certifying signatures by both the assigned staff and a FRC supervisor that all IPV actions have been completed.

When all IPV actions have been taken, the 216 IPV will be imaged in the case. The FRC will send an email to QESD at *HHSA, EO_QESDSupport* within five business days.

Customer Fraud Penalties

All of the following penalties result from a conviction in a state or federal court, or ADH. Any resources and income of the disqualified individual are considered available to the Assistance Unit (AU).

Fraud Occurred On or After January 1, 1998

Six Month Penalty

Individuals who have been convicted for the first time for any of the following acts for the purpose of establishing or maintaining the family's eligibility for aid or increasing, or preventing a reduction in the amount of that aid:

- Making false or misleading statements or misrepresenting, concealing, or withholding facts.
- Committing any act intended to mislead, misrepresent, conceal, or withhold facts or propound a falsity.

Twelve Month Penalty

Individuals who have been convicted for the second time for any of the following acts for the purpose of establishing or maintaining the family's eligibility for aid or increasing, or preventing a reduction in the amount of that aid:

- Making false or misleading statements or misrepresenting, concealing, or withholding facts.
- Committing any act intended to mislead, misrepresent, conceal, or withhold facts or propound a falsity.

Two Year Penalty

- Individuals convicted of felony fraud, in a state or federal court, for theft of $2,000 or less.
- Individuals who have been convicted for the first time, the submission of more than one application for the same type of aid for the same period of time, for the purpose of receiving more than one grant, in order to establish or maintain the family's eligibility for aid, or increasing, or preventing a reduction in the amount of aid.

Four Year Penalty

Individuals who have been convicted for the second time for the submission of more than one application for the same type of aid for the same period of time, for the purpose of receiving more than one grant, in order to establish or maintain the family's eligibility for aid, or increasing, or preventing a reduction in the amount of aid.

Five Year Penalty

Individuals convicted of a felony fraud in a state or federal court, for theft of more than $2,000, but less than $5,000.

Permanent Penalty

- Individuals found to have committed a fraudulent act by a state of federal court (including plea of guilty or nolo contendere) or ADH for any of the following acts:
  - Made fraudulent statements or representation regarding their place of residence, in order to receive assistance simultaneously, from two or more states or counties.
  - Submitted false documentation for nonexistent or ineligible children.
  - Received cash benefits in excess of $10,000 through fraudulent means.
- Individuals convicted of felony fraud, in a state or federal court, including any determination made on the basis of a plea of guilty or nolo contendere, for receipt or attempted receipt of cash aid benefits of $5,000 or more.
- Individuals found for the third time to have committed any of the following:

- Making false or misleading statements, concealing, or withholding facts.
- Committing any act intended to mislead, misrepresent, conceal, or withhold facts or propound a falsity.
- Submitting more than one application for the same type of aid for the same period of time, for the purpose of receiving more than one grant, in order to establish or maintain the family's eligibility for aid, or increasing, or preventing a reduction in the amount of aid.

Note: Only the individual(s) found to have committed fraud is disqualified. If the person has been discontinued for another reason, the entire disqualification is to be served when the person is again active.

Customer Fraud Penalties – Fraud Occurred Before January 1, 1998

Individuals found to have committed an IPV either through an ADH or by a court of appropriate jurisdiction are ineligible for cash aid benefits as follows:

- Six months for the first violation.
- Twelve months for the second violation.
- Permanently for the third violation.

Individuals found to have committed an IPV either through an ADH or by a court of appropriate jurisdiction, based on any of the following:

- Submitting more than one application for the same period of time and for the purpose of receiving more than one grant of aid.
- Submitting documents for nonexistent children.
- Submitting false documents for the purpose of showing ineligible children to be eligible for aid.

Are ineligible for aid for the following time:

- Two years for the first violation.
- Four years for the second violation.
- Permanently for the third violation.

Treatment of Persons Subject to Fraud Penalties

Person is Convicted Before July 1, 1998 – Sanction

A person who is convicted before July 1, 1998, is sanctioned. The sanctioned person's AU is subject to mandatory vendor payment. The sanctioned person is not entitled to cash-linked Medi-Cal and is not required to participate in Employment Services (ES) activities.

Person is Convicted July 1, 1998 or later - Penalty

A person who is convicted on July 1, 1998, or later, is penalized. A penalized person remains in the AU. The penalized person's needs are not considered in the "Family" Maximum Aid Payment (MAP) or "AU" MAP when determining the AU's financial eligibility and grant levels. As an AU member, the individual will continue to receive cash-linked Medi-Cal, is required to participate in ES activities unless exempt and will have time on aid counted against the Time On Aid (TOA) limit. All income of the penalized individual will be used in the AU's eligibility and grant determination, and all appropriate income disregards are allowed. The needs of the penalized person are to be restored the first day of the month following the end of the penalty period.

Sanctioned/Penalized Person Not on Aid

If the AU or individual responsible for the IPV goes off of aid prior to imposing or during the penalty/sanction period, the penalty is suspended until the individual is found eligible for cash aid by joining another AU or reapplying at a later time.

Out of County/Out of State IPV Notifications Required Actions

When notified by another county of an IPV for an active customer, staff are to request documentation of the IPV finding and the overpayment:

- Apply the disqualification as indicated by the other county.
- Begin recoupment of the overpayment.
- When the overpayment can no longer be recouped, refer the remaining balance to the Office of Revenue and Recovery (ORR).
- Identify the county of origin on the overpayment referral and attach the documentation from the other county.

When notified by another state of an IPV for an active customer, workers are to request documentation of the IPV finding and the overpayment:

- Apply the disqualification as indicated by the other state.
- Do not recoup a Temporary Assistance for Needy Families (TANF) overpayment from another state - No regulatory or fiscal authority currently exists.

Procedure:

Eligibility Policy and Procedure Guide (EPPG) 05 – Quality & Eligibility Support Department (QESD) – Administrative Disqualification Hearing (ADH) for QESD Staff Policy and Procedures.

References:

Confidentiality, Fraud, Civil Rights (CFC), and State Hearings Manual 20-003, 20-350.
All County Letters (ACL) No. 17-41, 17-118, 18-22.

Sunset Date:

This policy will be reviewed for continuance by February 28, 2028.

Approval for Release:

Rick Wanne, Director
Self-Sufficiency Services